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Resuscitating the Salter-Swan model of a small open economy

Jeffrey Frankel / 2 Oct 2023

Despite its usefulness and insights for international economics, the Salter-Swan small open economy model is gradually disappearing from graduate programmes and academic research. This column calls for its revival, arguing that the model can be applied effectively to study emerging market and developing economies, particularly those dependent on commodity exports. Furthermore, the Salter-Swan model can readily accommodate recent empirical evidence, for example on dominant currency pricing.

Governments have many goals. To simplify, the two most important kinds of macroeconomic goals can be categorised as external balance and internal balance. Internal balance is the desirable point on the trade-off between output and inflation. To be sure, this trade-off looks different in the long term than in the short term, for well-known reasons. External balance could be defined as a current account at its desirable level.¹

The Tinbergen (1952) principle remains as valid as ever: to attain N independent goals, a government needs N independent policy instruments. There will always be an important place for models in which $N=2$, if for no other reason than that we can only draw graphs readily in two-dimensional space. The Meade-Johnson application of the principle (Meade 1951, Johnson 1958) remains useful: to pursue the two goals of internal and external balance, the two most important kinds of instruments are expenditure policies (particularly fiscal and monetary policy) and switching policies (particularly the exchange rate). To be sure, we are less certain as to the effect of a devaluation than we were in the old days of Meade-Mundell-Fleming. This uncertainty is mainly due to some contractionary implications of devaluation,² especially the balance sheet effect of devaluation, which arises if the country has incurred debt denominated in foreign currency. But we can be pretty sure that devaluation raises inflation and thus would have to be offset by spending contraction if the same level of internal balance were to be maintained.

The Meade-Mundell-Fleming framework was based on the assumption that the two most relevant goods are the domestic good, whose price is set in terms of domestic currency, and the foreign good whose price is set in terms of foreign currency. This assumption is the producer currency pricing paradigm (PCP). More recently, the assumption has been challenged by the dominant currency pricing (DCP) paradigm (Gopinath 2015, Gopinath, et al. 2020, Amiti et al. 2022, Itskhoki et al. 2013). The challenge is warranted, in light of the strong empirical evidence that most tradable goods – not just imports but also exports – are invoiced in terms of the dollar or other major foreign currency, and that a devaluation raises the domestic currency price of all these goods, i.e. passthrough is high. The exception is the case of US imports, where passthrough is low. The dollar is, after all, the dominant currency.

This column urges a revival of the Salter-Swan version of the small open economy model (Salter 1959, Swan 1963). Our starting point is a claim that the aforementioned empirical evidence, while consistent